

published in 1924.¹ Common stocks were shown to have a tendency to increase in value with the years, for the simple reason that they earned more than they paid out in dividends and thus the reinvested earnings added to their worth. In a representative case, the company would earn an average of 9%, pay 6% in dividends, and add 3% to surplus. With good management and reasonable luck the fair value of the stock would increase with its book value, at the annual rate of 3% *compounded*. This was, of course, a theoretical rather than a standard pattern, but the numerous instances of results poorer than “normal” might be offset by examples of more rapid growth.

The attractiveness of common stocks for the long pull thus lay essentially in the fact that they earned more than the bond-interest rate upon their cost. This would be true, typically, of a stock earning \$10 and selling at 100. But as soon as the price was advanced to a much higher price in relation to earnings, this advantage disappeared, *and with it disappeared the entire theoretical basis for investment purchases of common stocks*. When in 1929 investors paid \$200 per share for a stock earning \$8, they were buying an earning power no greater than the bond-interest rate, without the extra protection afforded by a prior claim. Hence in using the past performances of common stocks as the reason for paying prices 20 to 40 times their earnings, the new-era exponents were starting with a sound premise and twisting it into a woefully unsound conclusion.

In fact their rush to take advantage of the inherent attractiveness of common stocks itself produced conditions entirely different from those which had given rise to this attractiveness and upon which it basically depended, *viz.*, the fact that earnings had averaged some 10% on market price. As we have seen, Edgar Lawrence Smith plausibly explained the growth of common-stock values as arising from the building up of asset values through the reinvestment of surplus earnings. Paradoxically enough, the new-era theory that exploited this finding refused to accord the slightest importance to the asset values behind the stocks it favored. Furthermore, the validity of Mr. Smith’s conclusions rested necessarily upon the assumption that common stocks could be counted on to behave

¹ The reader is referred to Chelcie C. Bosland, *The Common Stock Theory of Investment, Its Development and Significance*, New York, 1937, for a survey of the literature on the common-stock theory. *Common Stock Indexes* by Alfred Cowles 3d and associates, Bloomington, Ind., 1939, is a significant work on this subject which has appeared since publication of Professor Bosland’s book.